

Scenario - Activity 5: EBQ and Kanban Control Design

A component family is made internally at a finite production rate. Large batches reduce setups but increase WIP; replenishment delay also creates stockouts at assembly.

Questions

1. What is the EBQ under the base assumptions?
2. How does setup reduction change it?
3. How many kanbans are required?
4. Which assumption most needs evidence?

Known facts versus assumptions

Statement	Fact / calculation / report / assumption	Evidence source	Confidence